

August 3, 2026 05:03 PM GMT

Global In the Flow

July Recap

Performance – Tech underperformed; rates sold off

The NASDAQ (-3.2%) underperformed the S&P 500 (-0.1%), while the Hang Seng (+13.1%) outperformed. Rates sold off across the complex, with the UST 2s30s curve bear-steepening. Credit spreads broadly widened. In currencies, the DXY fell 1.3%, while KRW gained 7.6% against the USD. Brent rose 23.5%.

Technicals – DM IG credit issuance held firm

YTD DM IG credit gross issuance came in at +29% YoY and continued to be above the run rate of the past 5 years, while DM sovereign, DM HY, and EM issuance moderated.

Sentiment – MSI signal turned negative

The MSI signal turned negative, exiting the risk-on reading it held since June 26, 2026. Sentiment indicators suggest a broadly neutral backdrop, with the US equity put/call ratio at 0.9 and VIX remaining low.

UST 30-year yields reached its highest level in 19 years

UST 30Y Yields (%)



Source: Bloomberg, Morgan Stanley Research

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All data as of July 31, 2026 unless otherwise indicated.

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Highlights from July

GLOBAL EQUITIES

-3.2%

NASDAQ

-17.1%

MSCI Korea total returns (USD)

GLOBAL FIXED INCOME

-172bp

UST 10Y total returns

-164bp

DBR 10Y total returns

FX

1.3%

The DXY fell...

8.8%

COP appreciated against USD by...

SENTIMENT

-1 (Risk-Off)

Market Sentiment Indicator 'signal'

16.0

VIX currently stands at...

FLOWS/ISSUANCE

+29%

YoY Δ in YTD DM IG gross issuance

+6%

YoY Δ in YTD EM debt gross issuance

MARKET-IMPLIED POLICY MOVES

+55bp

Cumulative change in Fed rate over N12M

+61bp

Cumulative change in ECB rate over N12M

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In Case You Missed It...

[Cross-Asset Brief: What Is the Path Forward for the Fed? Key Debates in Under 5 Minutes – July 2026 \(31 Jul 2026\)](#)

Don't have a lot of time? Here are some brief thoughts on a few key cross-asset debates we've had with investors in July on our out-of-consensus calls.

[Cross-Asset Dispatches: Weathering El Niño \(27 Jul 2026\)](#)

The chances of a very strong El Niño now sit at 81%. History suggests that the impact on global markets is usually limited, but the implications look more like a bottom-up story rather than a macro trade, in our view. Sugar, copper, and select EM credits screen as most exposed to a "super" event.

[Cross-Asset Brief: MSI Turns Negative \(22 Jul 2026\)](#)

Our Market Sentiment Indicator (MSI) has turned negative, exiting the positive signal it has held since June 26, 2026. While the MSI signals tactical risk-off, over the next 12M we are OW equities, and prefer US.

[Cross-Asset Playbook: Climbing the Wall of Worry \(16 Jul 2026\)](#)

Our key views and top trades in one place.

Market Review & Trends

MARKET REVIEW

Ranked Real Returns

Ranked Asset Class Return by Year – Blue Means You're Beating Inflation

2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026 YTD
Commod. (21%)	MSCI CN (51%)	USD Cash (0%)	S&P 500 (29%)	MSCI CN (28%)	US REITS (32%)	Commod. (0%)	S&P 500 (22%)	S&P 500 (22%)	MSCI EU (33%)	MSCI EM (17%)
US Small (19%)	MSCI EM (35%)	US2Y (0%)	US REITS (26%)	US Small (18%)	S&P 500 (20%)	USD Cash (-5%)	MSCI JP (17%)	MSCI CN (16%)	MSCI EM (31%)	US Small (15%)
US HY (15%)	MSCI EU (24%)	US10Y (-1%)	US Small (23%)	MSCI EM (17%)	Commod. (18%)	US2Y (-10%)	MSCI EU (17%)	US Small (8%)	MSCI CN (28%)	US REITS (14%)
Global HY (12%)	MSCI JP (22%)	US Agg (-2%)	MSCI EU (22%)	S&P 500 (17%)	MSCI EU (9%)	EM Local (-14%)	US Small (13%)	Global HY (6%)	MSCI JP (22%)	MSCI JP (14%)
S&P 500 (10%)	S&P 500 (19%)	TIPS (-3%)	MSCI CN (21%)	MSCI JP (13%)	US Small (7%)	US HY (-17%)	Global HY (10%)	MSCI JP (6%)	S&P 500 (15%)	Commod. (14%)
MSCI EM (9%)	US Small (12%)	US HY (-4%)	MSCI JP (17%)	Commod. (10%)	TIPS (-1%)	TIPS (-17%)	US HY (10%)	US HY (5%)	Commod. (12%)	S&P 500 (7%)
EM \$ Sov. (7%)	EM Local (12%)	US IG (-4%)	MSCI EM (16%)	TIPS (10%)	US HY (-2%)	Global HY (-18%)	US REITS (8%)	MSCI EM (5%)	EM \$ Sov. (10%)	MSCI EU (7%)
US REITS (7%)	Global HY (8%)	EM Local (-5%)	US IG (12%)	US10Y (9%)	MSCI JP (-5%)	US Agg (-18%)	EM \$ Sov. (7%)	EM \$ Sov. (4%)	US Small (10%)	EM Local (0%)
US IG (4%)	EM \$ Sov. (7%)	Global HY (-6%)	US HY (12%)	US IG (8%)	Global HY (-6%)	MSCI EU (-20%)	MSCI EM (7%)	Commod. (3%)	Global HY (9%)	USD Cash (-1%)
EM Local (4%)	US REITS (6%)	US REITS (-6%)	EM \$ Sov. (11%)	US Agg (6%)	USD Cash (-7%)	US10Y (-20%)	US IG (5%)	USD Cash (2%)	EM Local (6%)	Global HY (-1%)
TIPS (3%)	Commod. (5%)	EM \$ Sov. (-6%)	Global HY (10%)	US HY (6%)	US2Y (-7%)	US IG (-21%)	EM Local (3%)	US REITS (2%)	US HY (6%)	US HY (-1%)
MSCI JP (1%)	US HY (5%)	S&P 500 (-6%)	Commod. (8%)	Global HY (6%)	US IG (-8%)	MSCI JP (-21%)	US Agg (2%)	US2Y (1%)	US10Y (6%)	US2Y (-2%)
US Agg (1%)	US IG (4%)	Commod. (-12%)	EM Local (7%)	MSCI EU (5%)	US Agg (-8%)	EM \$ Sov. (-22%)	USD Cash (2%)	MSCI EU (0%)	US IG (5%)	EM \$ Sov. (-2%)
MSCI CN (-1%)	US Agg (1%)	US Small (-13%)	US Agg (6%)	EM Local (4%)	EM Local (-8%)	S&P 500 (-23%)	US2Y (1%)	US IG (-1%)	US Agg (5%)	TIPS (-3%)
US2Y (-1%)	TIPS (1%)	MSCI JP (-14%)	US10Y (6%)	EM \$ Sov. (4%)	MSCI EM (-9%)	MSCI EM (-25%)	TIPS (1%)	TIPS (-1%)	TIPS (4%)	US Agg (-4%)
US10Y (-1%)	US10Y (0%)	MSCI EM (-16%)	TIPS (6%)	US2Y (2%)	EM \$ Sov. (-9%)	US Small (-25%)	US10Y (0%)	EM Local (-1%)	US2Y (2%)	US IG (-4%)
USD Cash (-2%)	USD Cash (-1%)	MSCI EU (-16%)	US2Y (1%)	USD Cash (-1%)	US10Y (-9%)	MSCI CN (-27%)	MSCI CN (-14%)	US Agg (-2%)	USD Cash (2%)	US10Y (-4%)
MSCI EU (-2%)	US2Y (-2%)	MSCI CN (-20%)	USD Cash (0%)	US REITS (-6%)	MSCI CN (-27%)	US REITS (-30%)	Commod. (-14%)	US10Y (-3%)	US REITS (0%)	MSCI CN (-10%)

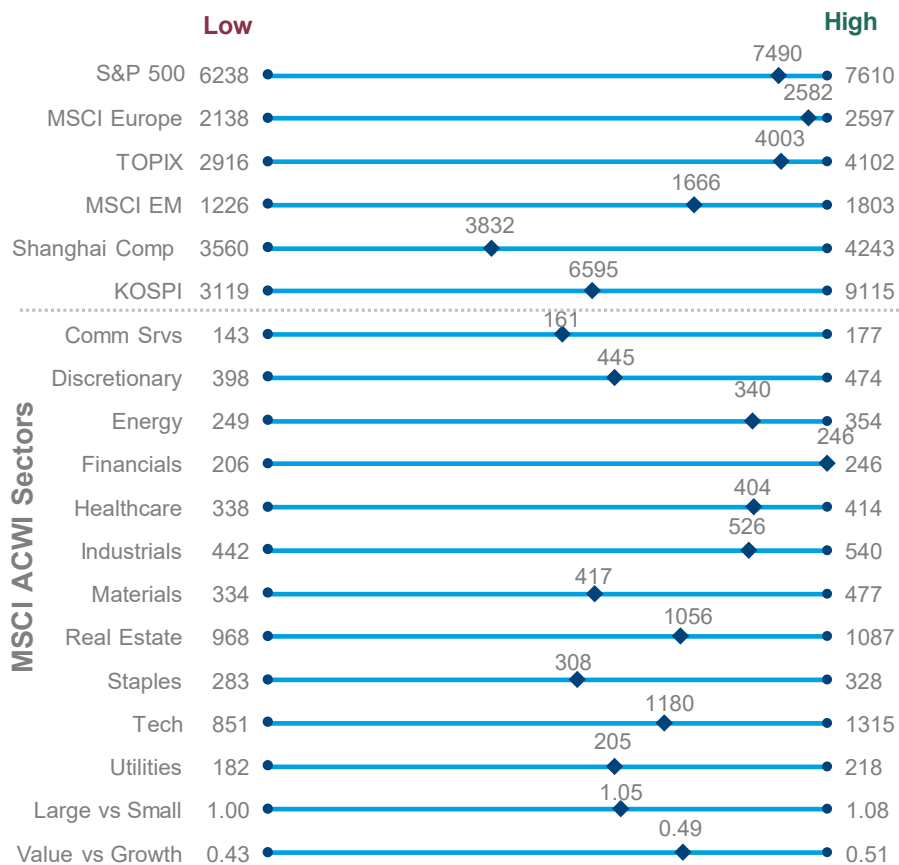
Source: Bloomberg, Morgan Stanley Research; Note: We compute annual returns minus US headline inflation. Inflation as of June CPI. Blue means returns (in USD) beat inflation, and red means returns trailed inflation.

MARKET REVIEW

What's Extreme Versus the Last 12 Months?

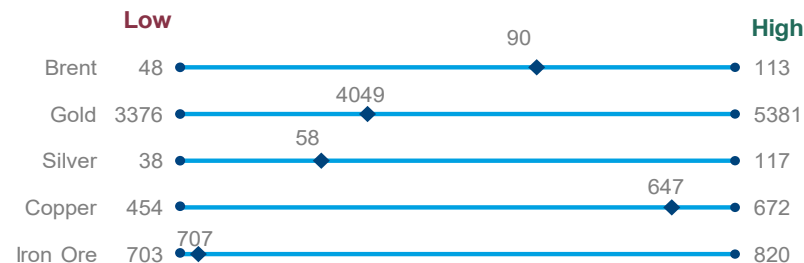
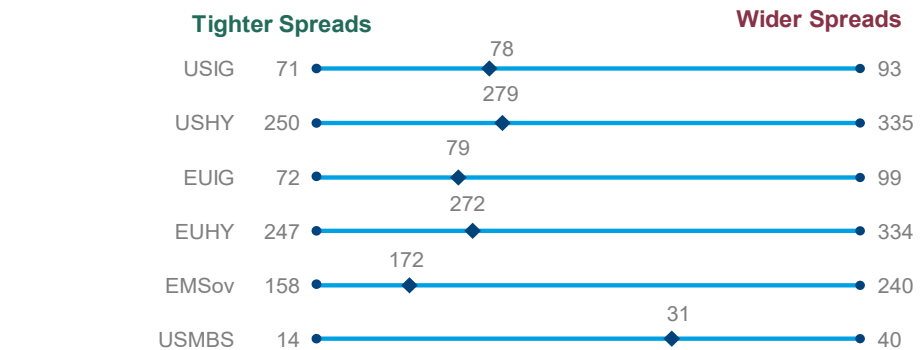
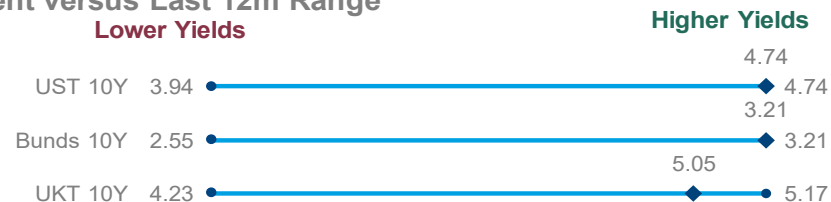
Equities

Current versus Last 12m Range



Fixed Income & Commodities

Current versus Last 12m Range



Source: Bloomberg, Morgan Stanley Research; Note: EM Sov here is based on the JPM EMBI Diversified Sov Index.

MARKET REVIEW

Last Month's Moves in Context

EQUITIES	Level	1Y Range	1M Change		
			1M	%	ZScore
MAJOR EQUITY MARKETS					
MSCI ACWI	1,121		0.0%		
S&P 500	7,490		-0.1%		
Russell 2000	2,931		-3.1%		
NASDAQ	25,374		-3.2%		
Eurostoxx 50	6,358		0.5%		
DAX	25,629		2.5%		
FTSEMIB	52,173		0.9%		
FTSE 100	10,868		3.5%		
TOPIX	4,003		0.2%		
MSCI China	76		8.6%		
Hang Seng	25,884		13.1%		
MSCI EM	1,666		-3.3%		
EQUITY SECTORS (MSCI ACWI)					
Cons. Disc.	445		3.0%		
Cons. Staple	308		2.4%		
Comm. Serv.	161		0.7%		
Energy	340		12.2%		
Financials	246		6.2%		
Healthcare	404		1.5%		
Industrials	526		-1.7%		
Materials	417		0.0%		
Tech.	1,180		-5.6%		
Utilities	204		-1.4%		
STYLE (MSCI ACWI)					
Large/Small	105%		3.2%		
Value/ Growth	49%		6.0%		

CREDIT	Spread (bp)	1Y Range	1M Change (bp)		
			1M	bp	ZScore
US CORPORATE CREDIT					
US AGG	29				

Source: Bloomberg, Morgan Stanley Research; Note: We look at 1m price returns for equities, 1m spread changes for credit and 1m yield changes for rates.

MARKET REVIEW

Last Month's Moves in Context

FX	Latest	1Y Range	1M Change			
			1M	%	ZScore	
DM						
AUD/USD	0.7019		1.4%			
CAD/USD	0.7132		1.2%			
EUR/USD	1.1527		0.9%			
CHF/USD	1.2384		0.1%			
GBP/USD	1.3483		1.7%			
JPY/USD	0.0064		3.3%			
NOK/USD	0.1055		4.5%			
NZD/USD	0.5879		3.5%			
SEK/USD	0.1049		1.8%			
EM						
BRL/USD	0.1971		1.8%			
CLP/USD	0.1074		-0.9%			
CNY/USD	0.1481		0.5%			
COP/USD	0.0317		8.8%			
IDR/USD**	0.0555		-0.6%			
INR/USD	0.0105		-0.8%			
KRW/USD**	0.0695		7.6%			
MXN/USD	0.0577		0.8%			
MYR/USD	0.2448		0.0%			
PLN/USD	0.2675		0.7%			
ZAR/USD	0.0605		-0.8%			
INDICES						
DXY	100		-1.3%			
EUR TWI	113		0.2%			

COMMODITIES	Latest	1Y Range	1M Change			
			1M	%	ZScore	
INDEX						
BCOMSP	684		6.9%			
S&P GSCI	686		10.8%			
Precious Metals Index	5,419		1.1%			
Industrial Metals Index	601		3.4%			
Agriculture Index	384		6.5%			
Energy Index	309		20.1%			
ENERGY						
WTI Crude	85		22.7%			
Brent	90		23.5%			
Natural Gas	3		-16.0%			
Gasoline	322		11.3%			
Heating Oil	412		27.6%			
Gasoil	1,319		46.5%			
PRECIOUS METALS						
Gold	4,049		0.3%			
Silver	58		-3.2%			
Platinum	1,659		6.2%			
INDUSTRIAL METALS						
Aluminum	3,194		3.8%			
Nickel	17,108		5.6%			
Zinc	3,707		3.1%			
Lead	1,843		-0.9%			
Tin	54,989		6.9%			
Copper	647		3.8%			
Iron Ore	706		-6.9%			

Source: Bloomberg, Morgan Stanley Research; Note: We look at 1m price returns for FX and commodities. **Spot x-rate shown x100. We show CMX copper.

MARKET REVIEW

Equity Markets – Total Returns

By Region

	Last Month		2026 YTD	
Region	Total Return (USD) %			
MSCI ACWI	0.1		11.6	
S&P 500	-0.1		10.1	
MSCI Europe	1.6		10.1	
MSCI UK	5.3		11.9	
MSCI Germany	3.2		2.7	
MSCI France	2.0		5.5	
Japan Topix	0.5		20.9	
MSCI Korea	-17.1		81.5	
Hang Seng	13.5		3.0	
MSCI Taiwan	-5.3		54.0	
MSCI Brazil	6.4		16.6	
MSCI Mexico	2.0		13.3	
MSCI S. Africa	-0.3		-5.2	
MSCI China	9.0		-7.2	
MSCI India	1.8		-8.1	

By Sector

	Last Month		2026 YTD	
MSCI Sector	Total Return (USD) %			
ACWI Large	0.2		11.6	
ACWI Small Cap	3.8		7.0	
ACWI Growth	-2.8		7.6	
ACWI Value	3.1		15.7	
US Large	0.1		9.9	
US Small	-4.6		17.2	
US Growth	-2.9		6.3	
US Value	2.9		13.8	
EU Large	1.4		10.0	
EU Small	3.8		7.0	
EU Growth	-1.7		5.8	
EU Value	5.0		14.4	
US Large Growth	0.7		19.6	
US Large Value	3.1		14.0	
US Small Growth	-9.2		18.1	
US Small Value	0.7		19.6	

Source: Bloomberg, Morgan Stanley Research; Note: Returns shown are gross total returns.

MARKET REVIEW

Fixed Income Markets – Total and Excess Returns

	Current		Last Month			2026 YTD		
	Spread	Yield (%)	Yield/spread Δ (bp)	Excess Returns (bp)	Total Returns (bp)	Yield/spread Δ (bp)	Excess Returns (bp)	Total Returns (bp)
US Fixed Inc.								
UST 10Y	-	4.7	27	-	-172	57	-	-186
Agg.	29	5.0	3	11	-130	2	17	-69
MBS	31	5.3	7	-8	-142	9	-20	-45
IG	78	5.5	4	51	-167	0	78	-83
HY	279	7.4	9	249	-25	13	236	171
US Corp.								
AA	60	5.4	8	-2	-241	12	-33	-213
A	66	5.3	4	39	-159	2	53	-88
BBB	96	5.6	4	70	-157	-1	103	-47
BB	165	6.3	10	130	-37	0	165	160
B	282	7.5	5	267	2	14	240	220
CCC	826	12.7	56	664	-52	211	215	116
EM								
EM Sov.\$	172	6.4	6	131	-166	-11	246	60

	Current		Last Month			2026 YTD		
	Spread	Yield (%)	Yield/spread Δ (bp)	Excess Returns (bp)	Total Returns (bp)	Yield/spread Δ (bp)	Excess Returns (bp)	Total Returns (bp)
EUR Fixed Inc.								
DBR 10Y	-	3.2	35	-	-164	35	-	-54
Agg.	44	3.5	0	44	-147	1	38	-19
Sec.	37	3.2	1	32	-96	1	35	6
IG	79	3.7	-1	84	-34	1	74	35
HY	272	6.1	3	263	34	7	250	154
EUR Corp.								
AA	51	3.5	0	51	-65	2	37	-6
A	70	3.7	-1	76	-36	-1	76	32
BBB	91	3.9	-1	96	-27	2	80	45
BB	162	4.8	-2	168	37	-14	207	150
B	335	7.0	14	294	31	23	265	163
CCC	1136	14.5	-13	1175	-24	82	899	179

Source: Bloomberg, Morgan Stanley Research

MARKET REVIEW

Cross-Asset Volatility

	Implied Daily Move	Implied Vol 3m (IV3m)		Vol Carry IV3m-RV1m		Vol Skew 3m*		Term Structure (3m-1y)		IV3m/RV1m Ratio	
Index		Now	1M Chg on 15y Range	Now	1M Chg on 15y Range	Now	1M Chg on 15y Range	Now	1M Chg on 15y Range	Now	1M Chg on 15y Range
MAJOR EQUITY MARKETS											
S&P 500	0.93%	14.82%		2.95%		5.88%		3.43%		1.25	
Russell 2000	1.23%	19.56%		6.46%		5.13%		2.49%		1.49	
Nasdaq	1.48%	23.52%		0.16%		6.26%		2.20%		1.01	
Eurostoxx 50	1.00%	15.84%		1.89%		4.72%		1.67%		1.14	
FTSE 100	0.79%	12.53%		2.57%		3.43%		1.40%		1.26	
Nikkei	1.98%	31.42%		-4.13%		5.61%		-1.97%		0.88	
MSCI EM	1.96%	31.13%		0.27%		3.97%		0.56%		1.01	
Hang Seng	1.20%	19.10%		-1.05%		0.52%		1.53%		0.95	
Kospi	4.18%	66.36%		-44.13%		4.24%		-10.66%		0.6	
RATES											
EU10y	3.9	61.9		9.94						1.19	
CREDIT											
CDX IG	0.02%	0.32%		0.20%						2.59	
CDX HY	0.10%	1.59%		0.92%						2.38	
iTraxx Main	0.02%	0.35%		0.20%						2.38	
iTraxx XOver	0.10%	1.66%		0.92%						2.24	
COMMODITIES											
Brent Crude	2.82%	44.72%		-20.51%				-16.13%		0.69	
Gold	1.38%	21.86%		1.27%				1.48%		1.06	
G10 FX											
JPY	0.50%	8.00%		-1.94%		-1.79%		0.04%		0.81	
EUR	0.34%	5.36%		0.89%		0.42%		0.64%		1.2	
GBP	0.38%	6.09%		-0.15%		0.74%		1.05%		0.98	
AUD	0.47%	7.49%		1.61%		0.79%		1.12%		1.27	
CAD	0.27%	4.23%		0.76%		0.09%		0.65%		1.22	
EM FX											
BRL	0.95%	15.04%		6.01%		2.61%		-0.99%		1.67	
MXN	0.54%	8.55%		2.28%		2.53%		1.57%		1.36	
CNH	0.15%	2.37%		0.70%		0.22%		0.88%		1.42	
KRW	0.67%	10.56%		1.23%		0.52%		-0.51%		1.13	
ZAR	0.66%	10.53%		-1.30%		2.02%		1.01%		0.89	

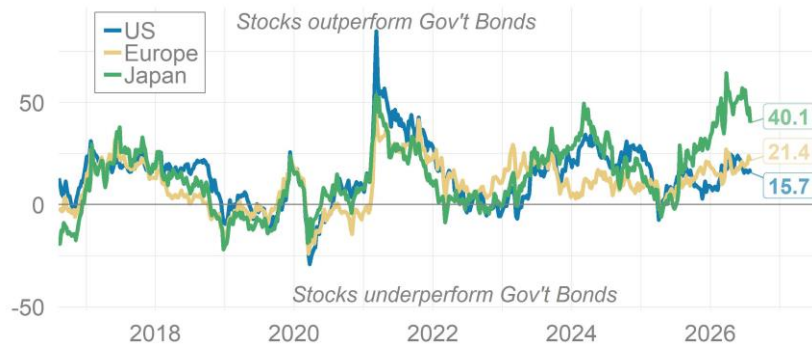
Source: Bloomberg, Morgan Stanley Research; Note: Components of the scorecard: A) 3m implied vol; for credit indices, we use the corresponding CBOE 3-month volatility index and 1M change is shown on 10Y range B) Vol carry: Defined as the difference between 3-month implied vol and 1-month realised vol. C) Vol skew (3m): 1) Defined as OTM put – OTM call; 2) Defined as 25-delta skew for equities, commodities and FX; 3) Defined as +50/-50bp skew for US rates and +25/-25bp skew for EU rates; 4) Defined as 80/130 skew for credit. D) Term structure: Defined as the difference between 1-year and 3-month implied vol. Blue shaded area shows a fall in volatility metric while red shaded area shows a rise in the volatility metric. Black dot represents the current value, black vertical bar represents data point 1m ago.

MARKET TRENDS

Relative Performance – Total Return Differences

Equities versus Govt. Bonds (%)

Stocks less Bonds 12M TR (%)

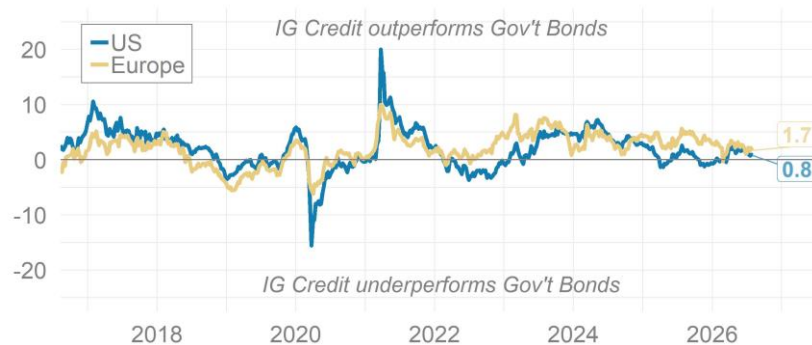


As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

Investment Grade Credit versus Govt. Bonds (%)

IG Credit less Bonds 12M TR (%)



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

Regional Equities versus MSCI ACWI (%)

Stocks less ACWI 12M TR (%)



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research; Note: MSCI ACWI and MSCI EM are in USD.

Equities versus High Yield (%)

Stocks less HY 12M TR (%)



As of: 2026-07-31

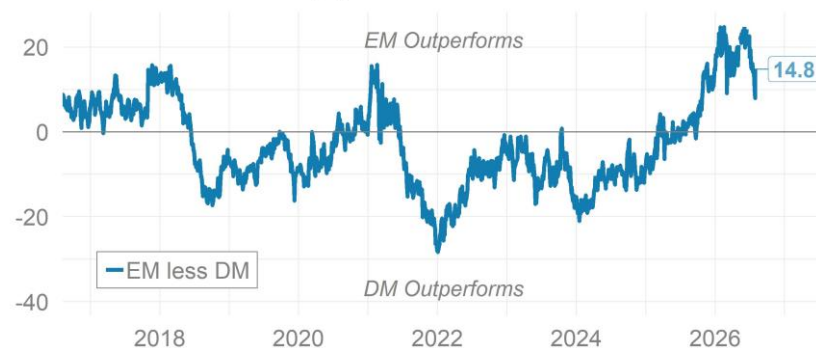
Source: Bloomberg, Morgan Stanley Research

MARKET TRENDS

Relative Performance – Total Return Differences

EM versus DM Equities (%)

EM less DM Stocks 12M TR (%)



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research; Note: We show price return.

Cyclical versus Defensive Equities (%)

Cyclicals less Defensives 12M TR (%)

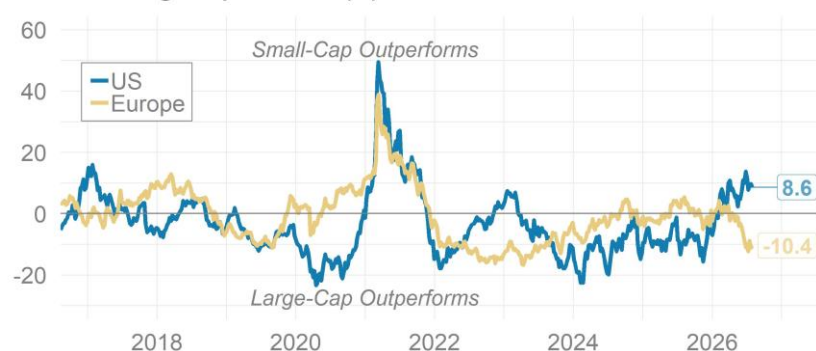


As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

Small-Cap versus Large-Cap Equities (%)

Small less Large Caps 12M TR (%)



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

Value versus Growth Equities (%)

Value less Growth 12M TR (%)



As of: 2026-07-31

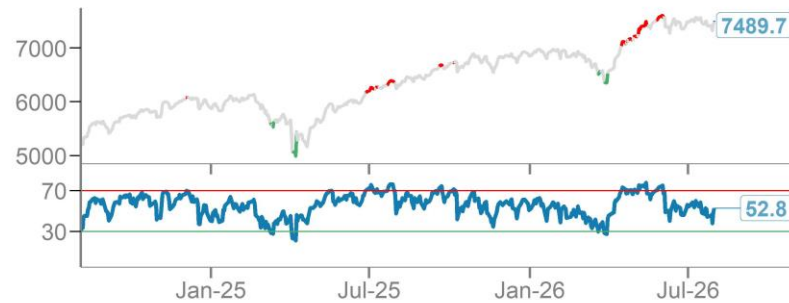
Source: Bloomberg, Morgan Stanley Research

MARKET TRENDS

Equity Markets by Region

US

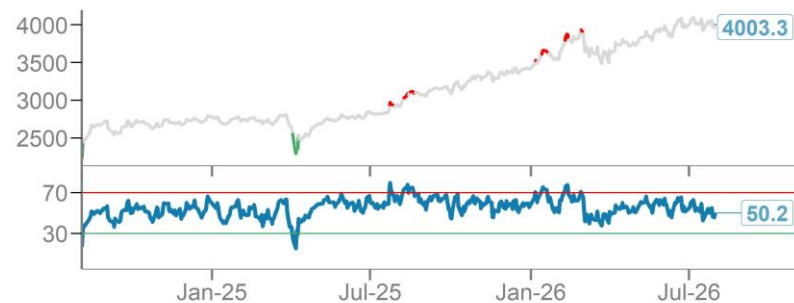
S&P 500



Source: Bloomberg, Morgan Stanley Research

Japan

Topix



Source: Bloomberg, Morgan Stanley Research

Note: Red indicates index at 2 standard deviations below 200D moving average; green indicates index at 2 standard deviations above 200D moving average.

Europe

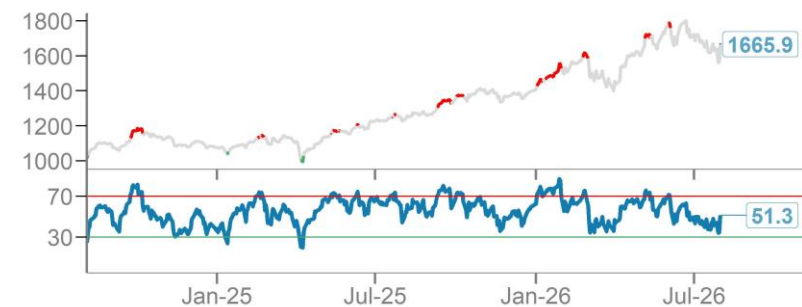
MSCI Europe (Local Ccy)



Source: Bloomberg, Morgan Stanley Research

EM

MSCI EM

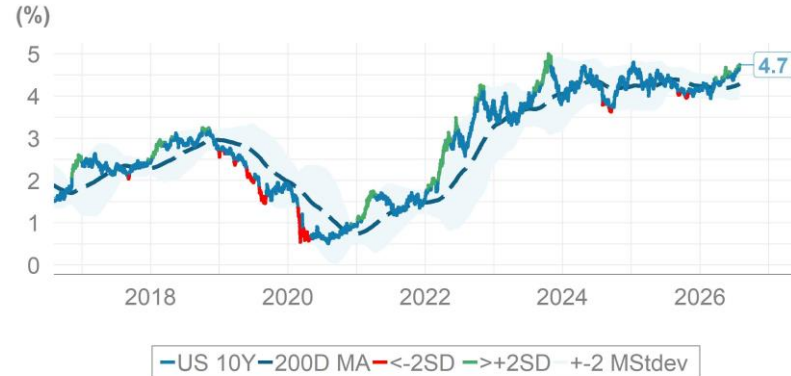


Source: Bloomberg, Morgan Stanley Research

MARKET TRENDS

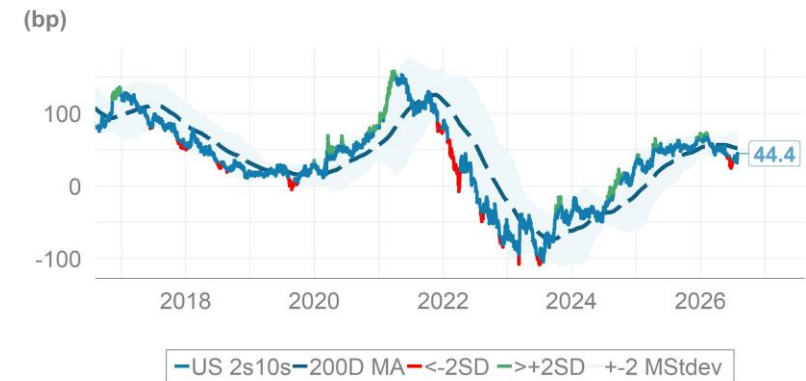
Government Bond Markets

UST 10Y (%)



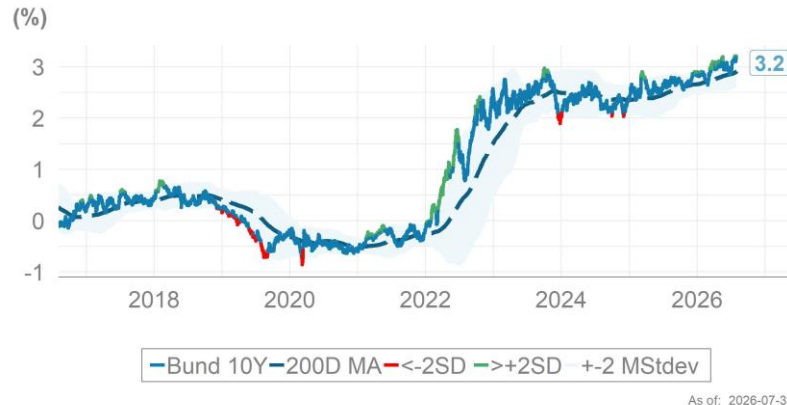
Source: Bloomberg, Morgan Stanley Research

US 2s10s (bp)



Source: Bloomberg, Morgan Stanley Research

Bunds 10Y (%)



Source: Bloomberg, Morgan Stanley Research

JGB 10Y (%)



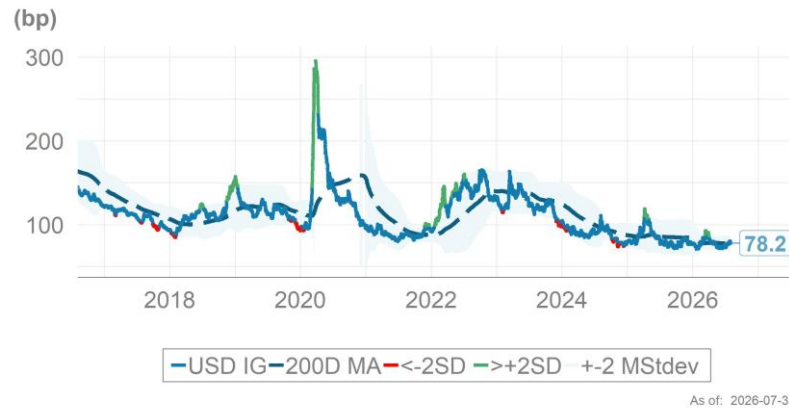
Source: Bloomberg, Morgan Stanley Research

Note: Red indicates index at 2 standard deviations below 200D moving average; green indicates index at 2 standard deviations above 200D moving average.

MARKET TRENDS

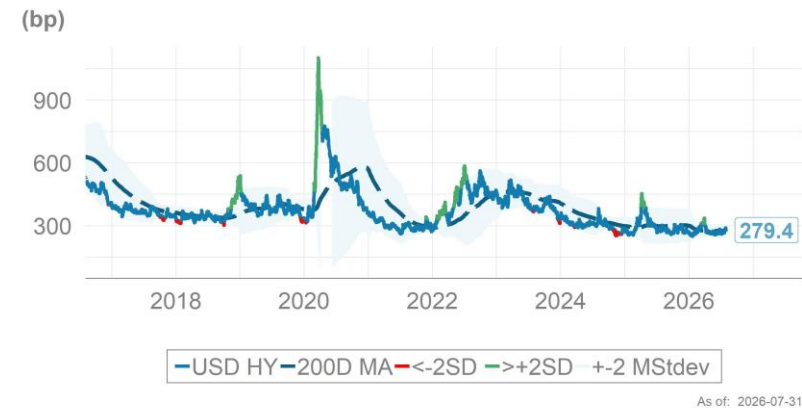
Credit Markets

USD Investment Grade Credit Spreads (bp)



Source: Bloomberg, Morgan Stanley Research

USD High Yield Credit Spreads (bp)



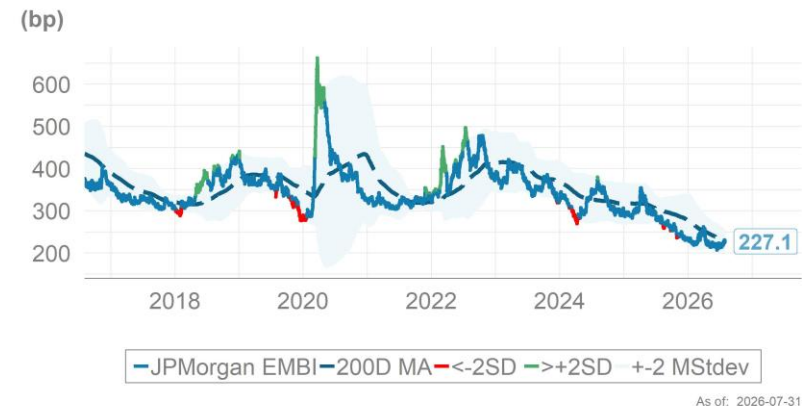
Source: Bloomberg, Morgan Stanley Research

EUR Investment Grade Credit Spreads (bp)



Source: Bloomberg, Morgan Stanley Research

EMBI Global Spreads (bp)



Source: Bloomberg, Morgan Stanley Research

Note: Red indicates index at 2 standard deviations below 200D moving average; green indicates index at 2 standard deviations above 200D moving average.

MARKET TRENDS

FX Markets

DXY



Source: Bloomberg, Morgan Stanley Research

EUR/USD



Source: Bloomberg, Morgan Stanley Research

USD/JPY



Source: Bloomberg, Morgan Stanley Research

FXEM Index



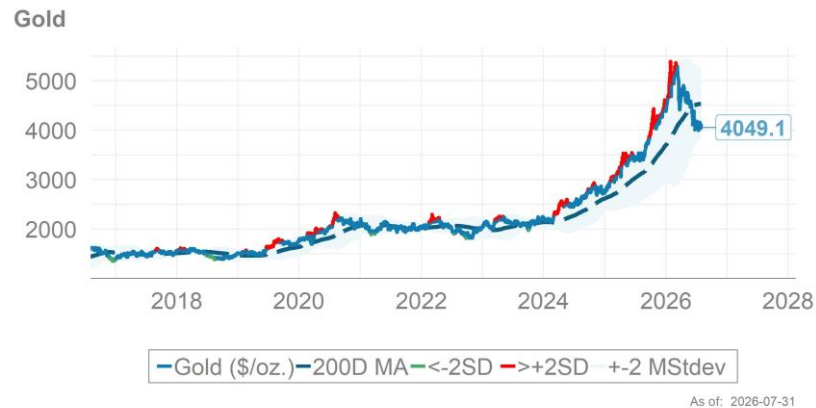
Source: Bloomberg, Morgan Stanley Research

Note: Red indicates index at 2 standard deviations above 200D moving average; green indicates index at 2 standard deviations below 200D moving average.

MARKET TRENDS

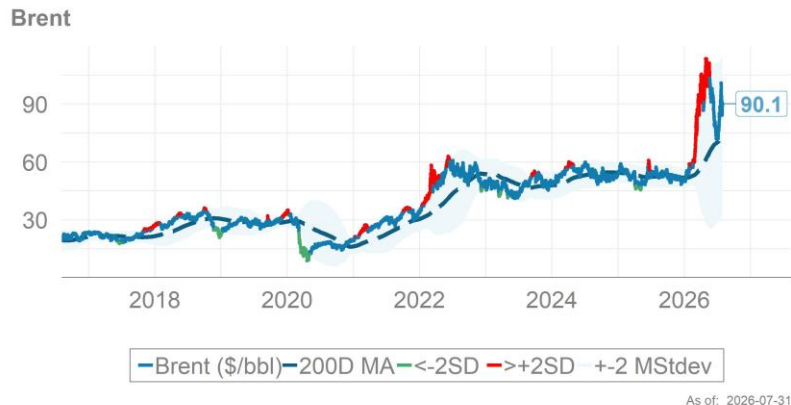
Commodity Markets

GSCI



Source: Bloomberg, Morgan Stanley Research

Brent



Source: Bloomberg, Morgan Stanley Research

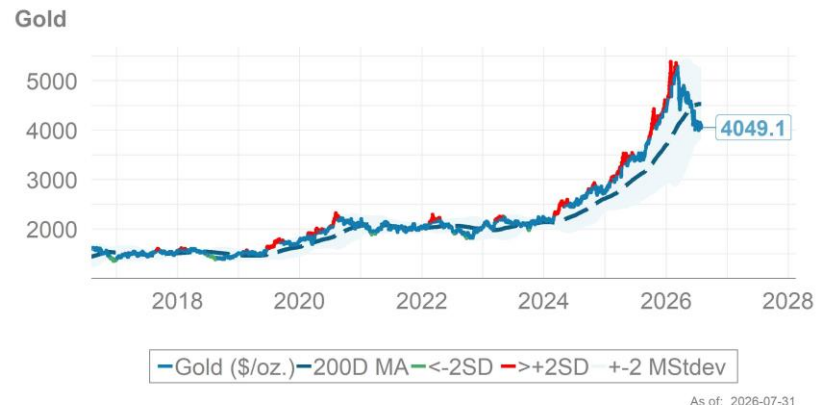
Note: Red indicates index at 2 standard deviations above 200D moving average; green indicates index at 2 standard deviations below 200D moving average.

S&P GSCI Indices (2010=100)



Source: Bloomberg, Morgan Stanley Research

Gold



Source: Bloomberg, Morgan Stanley Research

MARKET REVIEW

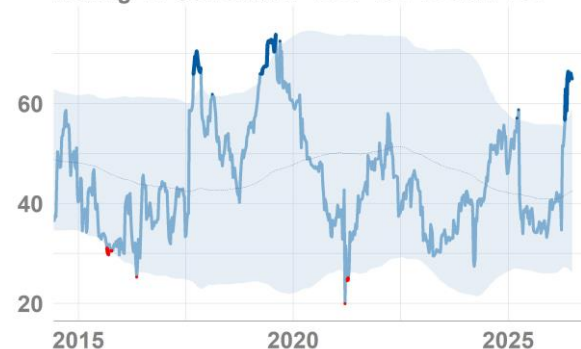
Cross-Asset Correlations

1Y Correlation						
Name	Current	1m	Chg	10Y Median	Z-Score	(-80%) 10Y Range (+80%)
Global						
Global Correlation Index	29%	↓	-11%	39%	0.5	
Regional						
Regional Correlations	47%	↓	-3%	49%	0.7	
Equity	53%	↓	-20%	62%	0.2	
Rates	32%	↑	11%	37%	-0.6	
Credit	69%	↓	-13%	67%	0.5	
DM FX	34%	↑	9%	32%	1	
EM FX	17%	↓	-2%	30%	-0.7	
Cross-Asset Correlations						
Cross-Asset Correlations	10%	↓	-19%	28%	0.3	
Equity-Credit	58%	↓	-15%	57%	0.5	
Equity-FX	14%	↓	-3%	17%	0.7	
Equity-Rates	32%	↑	36%	-10%	0.7	
Rates-Credit	0%	↑	20%	-22%	1.5	
FX-Rates	-6%	↓	-0%	-6%	-0.2	
Equity & Rates						
S&P 500 vs UST 10Y	33%	↑	19%	-11%	0.6	
SX5E vs Bunds 10Y	34%	↑	43%	-15%	1.1	
FTSE 100 vs Gilts 10Y	66%	↑	47%	6%	1.9	
Topix vs JGB 10Y	-5%	↑	37%	-18%	0.5	
S&P 500 vs US 10Y Real Ylds	51%	↑	19%	18%	1.9	
S&P 500 vs US 10Y B/E	-27%	↑	2%	-31%	0	
Equity & Credit						
S&P 500 vs US IG	46%	↓	-42%	57%	-0.2	
S&P 500 vs US HY	74%	↓	-18%	71%	0.7	
Eurostoxx 50 vs EU IG	68%	↓	-0%	58%	1.3	
Equity & FX						
S&P 500 vs DXY	-56%	↓	-57%	-19%	-1.8	
Eurostoxx 50 vs EUR	31%	↑	48%	9%	1.1	
FTSE 100 vs GBP	10%	↓	-13%	16%	0.4	
Topix vs JPY	15%	↓	-19%	37%	0.2	
MSCI EM vs USD	-54%	↓	-13%	-65%	-0.1	
Equity & Commodities						
S&P 500 vs Brent	-18%	↓	-55%	24%	-1.2	
S&P 500 vs Gold	36%	↑	14%	9%	1.5	
S&P 500 vs Silver	40%	↑	9%	23%	1.2	
S&P 500 vs Copper	56%	↑	4%	31%	1.5	

Source: Bloomberg, Morgan Stanley Research; Note: Rates correlations in yield terms here but in price terms for the rest. Dark Blue bar represents current correlation. Dark blue shaded box shows interquartile range over the last five years, while light blue box shows 5th to 95th percentile over the last five years. Black line represents five-year median. Current correlation column shows 1Y correlation on weekly returns/yield changes.

Extreme High

Rolling 1Y Correlation - UST 10Y vs JGB 10Y



Extreme Low

Rolling 1Y Correlation - S&P 500 vs Brent



Source: Bloomberg, Morgan Stanley Research

MARKET TRENDS

Cross-Asset Correlations

1Y returns correlation: S&P 500 versus UST 10Y

1Y Correlation



Source: Bloomberg, Morgan Stanley Research

1Y returns correlation: S&P 500 versus DXY

1Y Correlation



Source: Bloomberg, Morgan Stanley Research

1Y returns correlation: Eurostoxx versus EUR

1Y Correlation



Source: Bloomberg, Morgan Stanley Research

1Y returns correlation: Gold versus UST 10Y

1Y Correlation



Source: Bloomberg, Morgan Stanley Research

Valuations

VALUATIONS

Cross-Asset Valuation

Market	E/P	20y Z-Score	Nominal 10Y Ylds	20y Z-Score	EY-BY	20y Z-Score	FX REER	20y Z-Score
US	3.9		4.7		-0.8		104	
Europe	5.7		3.2		2.5		106	
Japan	4.0		2.8		1.2		67	
EM	5.6		4.7		0.9		n/a	
Germany	5.5		3.2		2.3		106	
Italy	6.4		4.0		3.2		n/a	
Spain	6.6		3.7		3.4		n/a	
Sweden	7.2		3.0		4.1		92	
Switzerland	5.0		0.4		4.6		101	
UK	6.6		5.0		1.6		114	
China	7.1		1.7		5.4		94	
Korea	4.6		4.3		0.3		83	
Australia	4.9		4.9		0.0		108	
Brazil	8.7		14.0		-5.3		76	
Mexico	6.5		9.2		-2.7		144	
Indonesia	9.4		7.3		2.1		80	
South Africa	7.9		8.3		-0.4		102	

Source: Bloomberg, Markit, LSEG, Morgan Stanley Research; Note: ^EM sovereign spreads are based on the EMBI Div Index.

MARKET REVIEW

Equity Markets – Valuations

By Region

Region	Trailing PB	Trailing PE	Forward PE
MSCI ACWI	3.8	23.8	18.4
S&P 500	5.7	27.6	21.1
MSCI Europe	2.5	18.2	16.1
FTSE 100	2.4	16.0	13.5
Germany DAX	2.1	17.6	16.7
France CAC 40	2.1	18.2	15.4
Japan Topix	1.8	19.4	17.0
Korea KOSPI	1.9	18.1	6.6
Hang Seng	1.4	13.5	11.7
Brazil Bovespa	1.6	11.9	8.8
Mexico BMV	2.4	15.1	13.3
S. Africa Top40	2.3	13.0	9.8
MSCI China	1.5	14.1	11.8
MSCI India	3.4	24.5	22.3

By Sector

	ACWI			USA			Europe			Japan			EM		
	TPE	FPE	TPB	TPE	FPE	TPB	TPE	FPE	TPB	TPE	FPE	TPB	TPE	FPE	TPB
Communication Services	21.8	16.4	4.2	23.8	16.6	5.3	22.1	16.7	2.2	11.0	15.3	2.2	18.1	14.8	2.7
Consumer Discretionary	28.8	21.1	4.0	32.4	23.3	8.6	24.3	17.1	1.8	21.1	19.2	1.7	24.5	16.2	2.0
Consumer Staples	22.1	20.6	4.8	24.3	23.2	7.4	17.9	16.3	3.3	23.3	21.8	2.2	22.1	19.2	3.4
Energy	17.5	11.7	2.1	23.0	13.7	2.6	12.2	8.3	1.6	12.5	7.3	1.0	9.9	8.7	1.4
Financials	15.1	13.9	2.0	17.8	15.9	2.6	12.6	12.5	1.8	16.4	13.3	1.6	10.7	9.9	1.3
Healthcare	22.0	20.4	4.7	22.4	21.6	5.4	19.2	16.5	3.8	24.9	21.2	2.2	34.8	28.8	4.0
Industrials	28.0	23.8	4.6	33.9	28.1	8.1	27.3	24.2	4.6	21.5	19.2	2.2	19.5	13.4	2.4
Information Technology	37.2	21.6	10.4	39.0	26.1	13.4	40.0	31.7	7.0	43.0	22.2	4.9	29.3	11.0	6.0
Materials	19.6	15.2	2.4	24.5	18.1	3.3	20.9	17.1	2.2	18.3	16.0	1.3	15.3	10.9	1.9
Utilities	18.9	17.5	2.1	20.3	18.6	2.3	18.3	16.2	2.3	9.5	12.2	0.9	14.6	13.3	1.5
Large	24.2	18.5	4.2	28.7	21.8	6.4	18.3	16.2	2.6	20.8	18.5	2.2	17.8	11.1	2.5
Small	-	17.6	2.1	27.0	19.8	2.7	19.5	15.9	1.7	-	16.3	1.5	24.1	14.2	1.6
Growth	33.0	23.6	7.4	39.9	28.6	13.3	25.6	21.9	4.4	25.5	22.2	3.3	24.7	13.4	4.4
Value	18.9	15.2	2.7	22.0	17.4	3.8	14.6	12.9	1.9	17.0	14.4	1.5	14.5	10.2	1.7
Large Growth				39.4	28.2	13.8									
Large Value				22.2	17.4	4.1									
Small Growth				42.2	28.5	5.1									
Small Value				20.1	15.1	1.8									

VALUATIONS

Fixed Income Valuation

Market	Rating	Nominal 10y Yield			Breakeven 10yr		Real Yld		2s10s		10s30s		1yr Vol (bp)		Carry+Roll/Vol	
		Level	1yr Range	20y Z-Score	Level	20y Z-Score	Level	20y Z-Score	Level	20y Z-Score	Level	20y Z-Score	Level	20y Z-Score	Level	20y Z-Score
US	Aa1	4.74			2.28		2.45		0.44		2.28		64		~	
UK	Aa3u	5.05			3.23		1.82		0.65		3.23		83		~	
Germany	Aaa	3.21			2.03		1.17		0.39		2.03		57		~	
Italy	Baa2u	4.02			2.04		1.98		1.02		2.04		85		~	
Spain	A3	3.65			2.12		1.53		0.79		2.12		69		~	
Portugal	A3u	3.55			~		~		0.75		~		68		~	
Japan	A1	2.79			1.99		0.8		1.3		1.99		51		~	
South Korea	Aa2	4.26			3		1.26		0.61		3		77		0.2	
Australia	Aaa	4.93			2.34		2.58		0.41		2.34		71		~	
Brazil	Ba1	13.98			6.76		9.36		0		6.76		167		~	
Mexico	Baa3	9.19			~		4.76		1.87		~		102		-0.1	
Indonesia	Baa2	7.31			~		4.95		0.31		~		89		0	
South Africa	Ba2	8.29			4.54		5.09		0.82		4.54		131		0.1	

Source: Bloomberg, Moody's, Morgan Stanley Research; Note: Real yields are calculated as 10y yields – 10y breakevens, but for EM, we use 10y yields – core CPI due to lack of sufficient data. We define carry+roll for rates here as 1y10y – 10y rates, and credit carry as the current spread level. Carry and roll are adjusted for 1Y volatility.

VALUATIONS

Equity Markets by Region

Forward Price/Earnings

Forward P/E



As of: 2026-07-31

Source: LSEG, Morgan Stanley Research

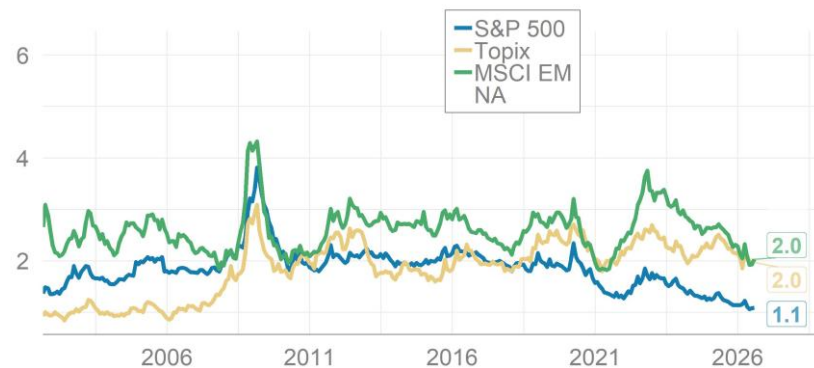
Cyclically Adjusted P/E



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

Dividend Yield (%)



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

Price/Book



As of: 2026-07-31

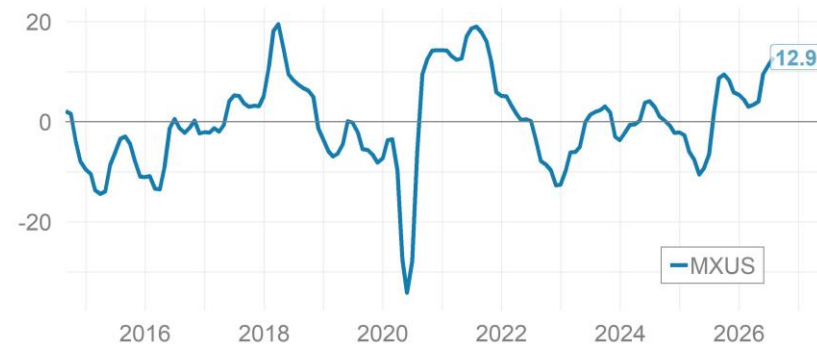
Source: Bloomberg, Morgan Stanley Research

VALUATIONS

Equity Markets Earnings Growth Revisions

US

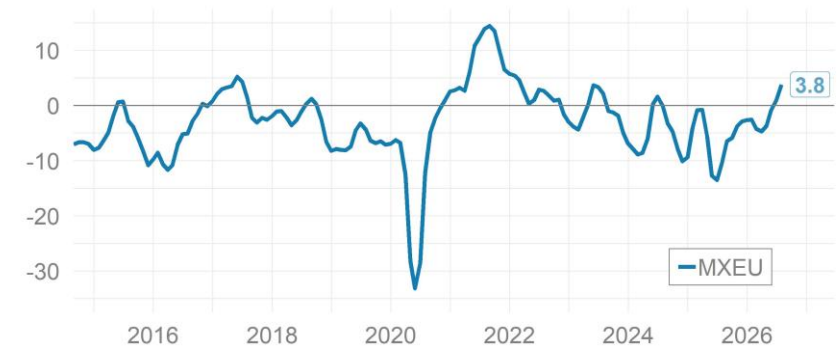
N12M Earnings Revision Ratio, 3mma (%)



Source: MSCI, IBES, Morgan Stanley Research

Europe

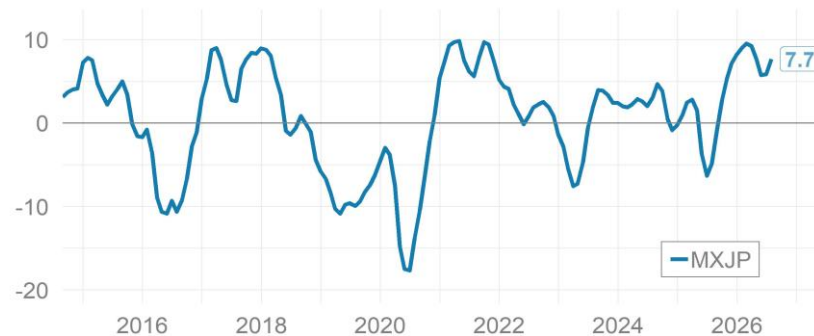
N12M Earnings Revision Ratio, 3mma (%)



Source: MSCI, IBES, Morgan Stanley Research

Japan

N12M Earnings Revision Ratio, 3mma (%)

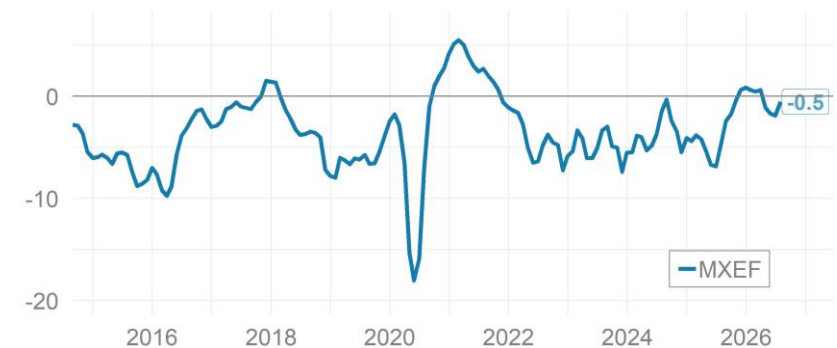


Source: MSCI, IBES, Morgan Stanley Research

Note: Earnings revisions ratio calculated as $(\# \text{ of upgrades} - \# \text{ of downgrades}) / (\# \text{ of estimates})$.

EM

N12M Earnings Revision Ratio, 3mma (%)



Source: MSCI, IBES, Morgan Stanley Research

VALUATIONS

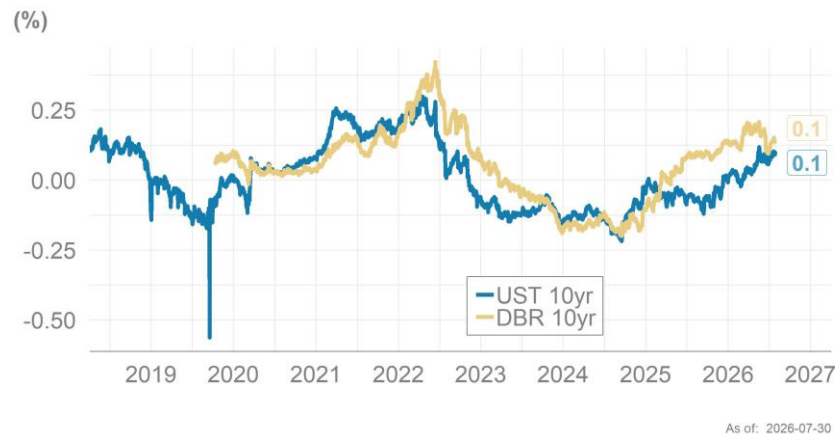
Fixed Income Markets

Nominal Yields (%)



Source: Bloomberg, Morgan Stanley Research

1yr Carry + Roll Down, Adjusted for Volatility (%)



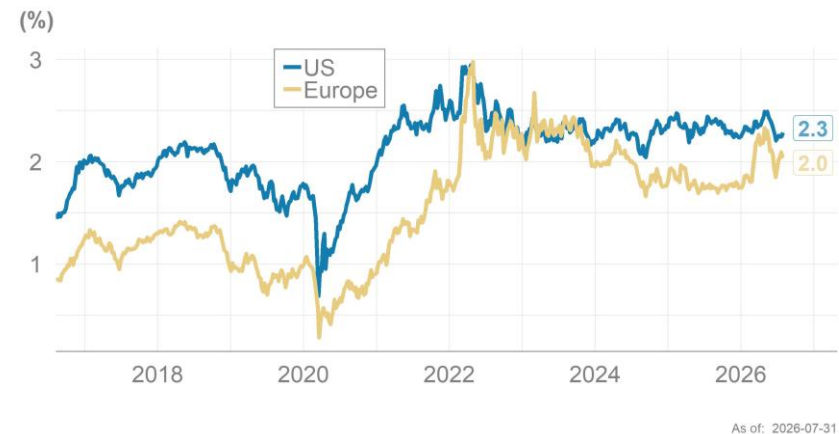
Source: Bloomberg, Morgan Stanley Research; Note: Adjusted for 1yr realized volatility. We use the 1Y forwards to compute carry and rolldown.

Real 10-Year Yields (bp)



Source: Bloomberg, Morgan Stanley Research; Note: Calculations based on 10y yields minus breakevens.

10-Year Breakeven Inflation (%)

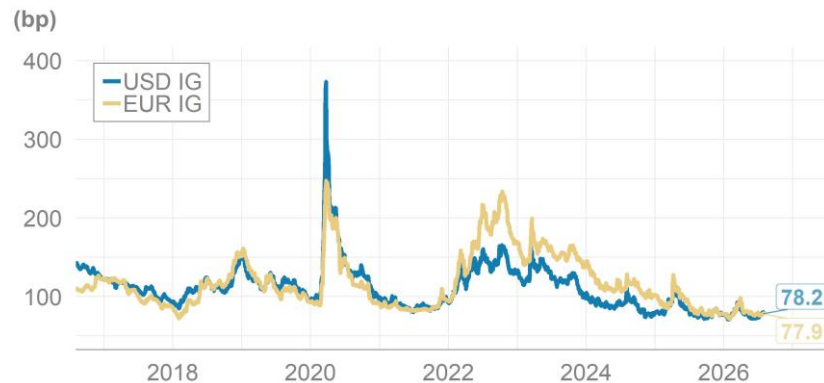


Source: Bloomberg, Morgan Stanley Research

VALUATIONS

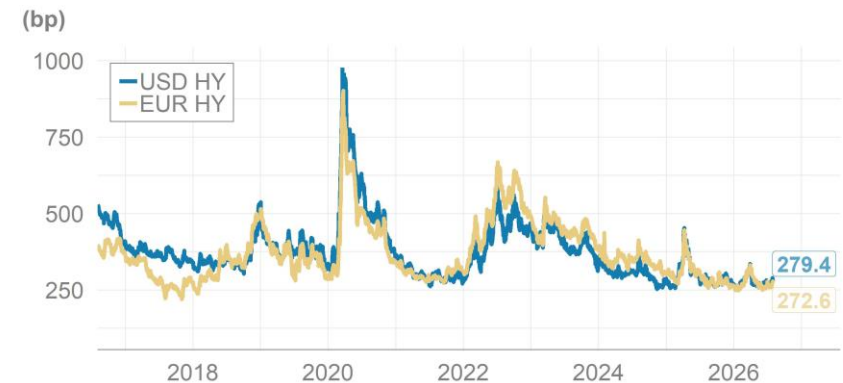
Credit Markets

Global IG Credit Spreads (bp)



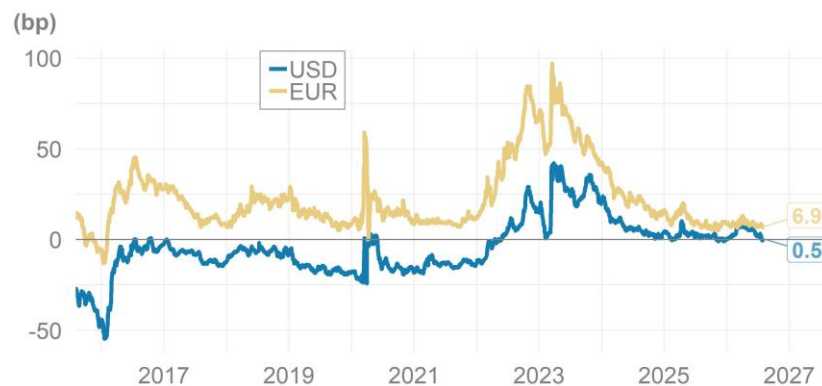
Source: Bloomberg, Morgan Stanley Research

Global High Yield Spreads (bp)



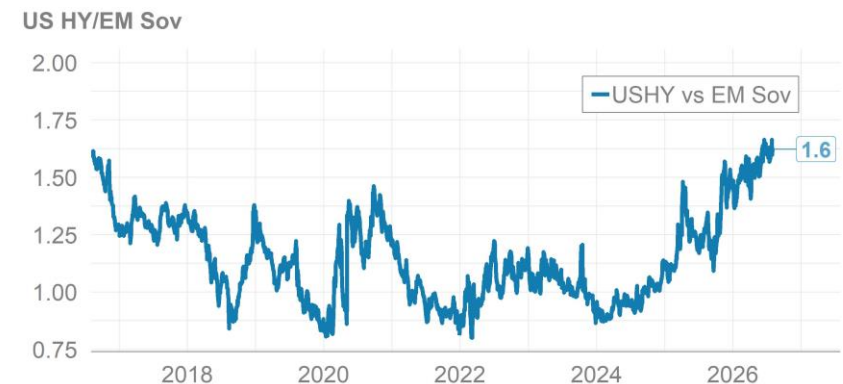
Source: Bloomberg, Morgan Stanley Research

Financial versus Non-Financial Spreads (bp)



Source: Bloomberg, Morgan Stanley Research

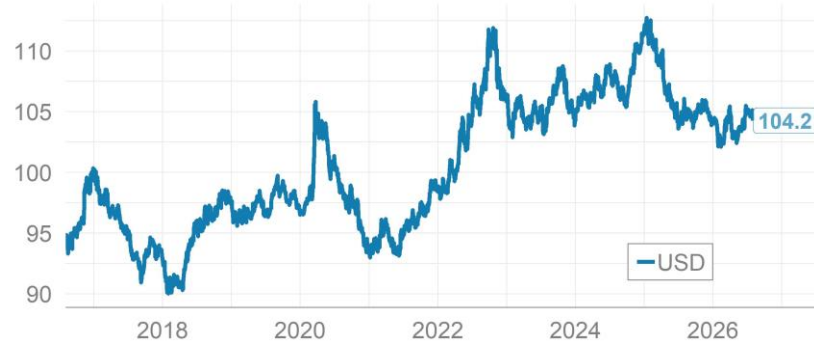
US High Yield versus EM Sov



Source: Bloomberg, Morgan Stanley Research

VALUATIONS FX Markets

Real Effective Exchange Rate – USD



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

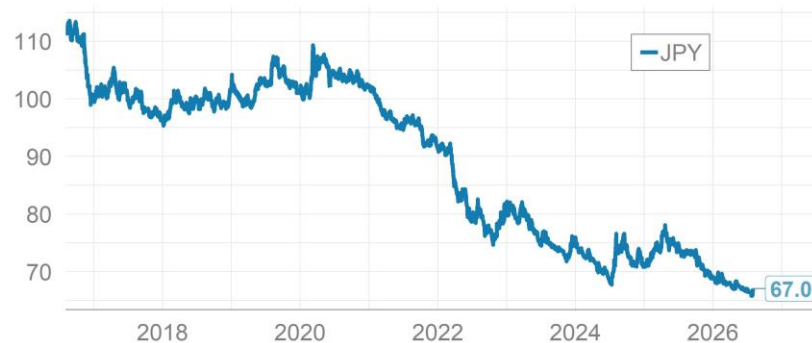
Real Effective Exchange Rate – EUR



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

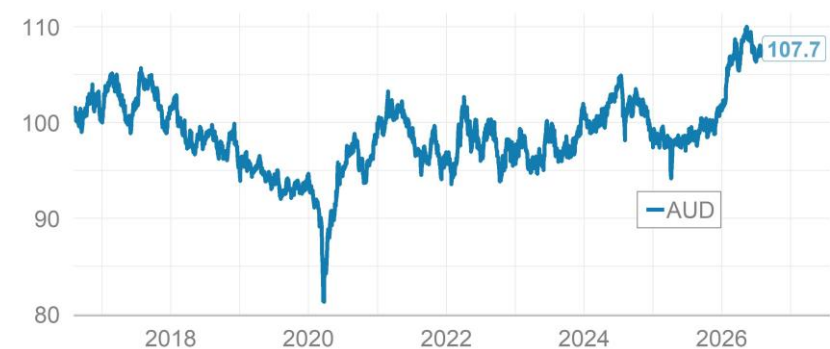
Real Effective Exchange Rate – JPY



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

Real Effective Exchange Rate – AUD



As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

VALUATIONS

Cross-Asset Long-Term Capital Market Assumptions (LTCMA)

Market	10Y Nominal Expected Returns						Risk Premium		
	Latest		Components			vs History	Latest	vs History	
	Exp Rtn (ER)	ER	(A) Income	(B) Earnings	(C) Repricing	ER Z-Score	Risk Prem. (RP)	RP	RP Z-Score
EQUITIES									
MSCI ACWI	5.8		1.7	5.0	-1.0		0.5		
S&P 500	5.6		1.5	5.7	-1.5		0.4		
MSCI Europe	8.3		2.5	6.0	-0.3		4.3		
MSCI Japan	12.4		1.6	10.6	0.1		9.7		
MSCI EM	-0.3		2.0	-0.3	-1.9		-5.5		

Market	10Y Nominal Expected Returns						Risk Premium		
	Latest		Components			vs History	Latest	vs History	
	Exp Rtn (ER)	ER	(A) Initial Yld	(B) Roll-down	(C) Credit Loss	ER Z-Score	Risk Prem. (RP)	RP	RP Z-Score
GOVERNMENT BONDS									
UST 10Y	5.3		4.7	0.5	~		~		
DBR 10Y	4.0		3.2	0.8	~		~		
JGB 10Y	2.8		2.8	~	~		~		
FIXED INCOME & CREDIT (USD)									
US AGG	5.2		5.0	0.2	0.0		-0.1		
Agency MBS	5.3		5.3	~	0.0		0.0		
US IG Corp	5.4		5.5	0.0	0.1		0.1		
US HY Corp	4.8		7.4	~	2.5		-0.5		
US IG Corp BBB	5.5		5.6	0.1	0.2		0.3		
US HY Corp BB	5.3		6.3	~	0.9		0.1		
US HY Corp B	4.7		7.5	~	2.6		-0.5		
FIXED INCOME & CREDIT (EUR)									
EUR AGG	3.4		3.5	~	0.1		-0.6		
EUR IG Corp	3.7		3.7	~	0.1		-0.3		
EUR HY Corp	5.1		6.1	~	0.9		1.2		
EUR IG Corp BBB	3.7		3.9	~	0.2		-0.3		
EUR HY Corp BB	3.8		4.8	~	0.9		-0.1		
EUR HY Corp B	4.6		7.0	~	2.2		0.7		
EMERGING MARKETS									
EM \$ Sov	4.8		6.4	0.3	1.8		-0.4		

Note:

Data as of Fri 31 July 2026

Source: Morgan Stanley Research forecasts

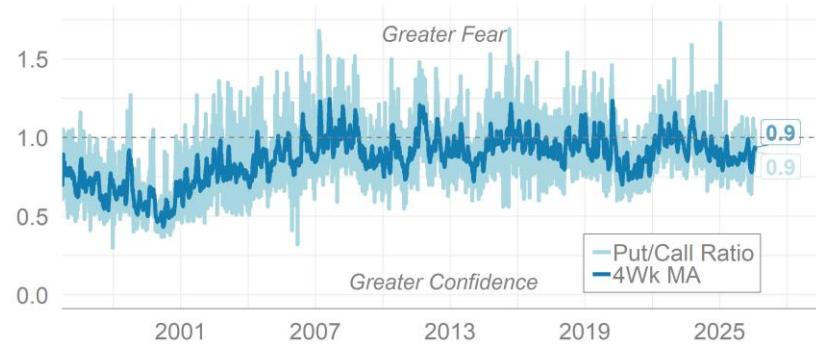
Technicals

TECHNICALS

Sentiment Indicators

US Equity Put/Call Ratio

Equity Put/Call Ratio

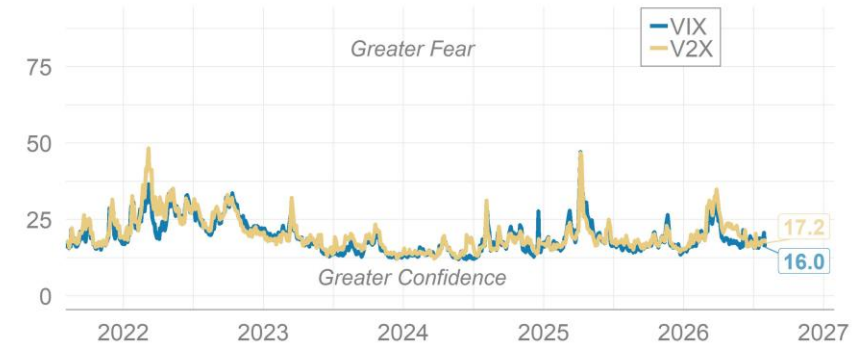


As of: 2026-07-31

Source: CBOE, Bloomberg, Morgan Stanley Research

VIX and EURO STOXX V2X

(%)

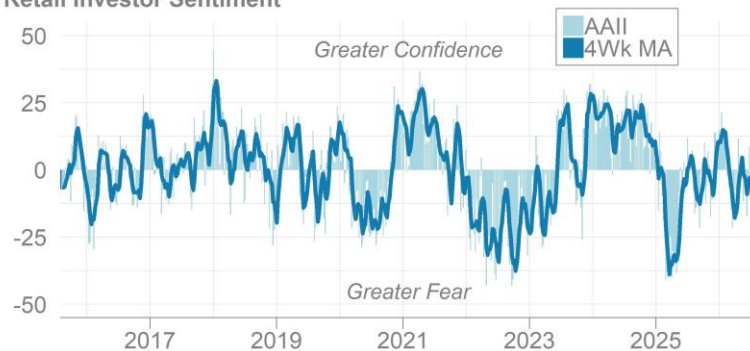


As of: 2026-07-31

Source: Bloomberg, Morgan Stanley Research

AAll Bulls-Bears

Retail Investor Sentiment



As of: 2026-07-30

Source: AAll, Bloomberg, Morgan Stanley Research

Investors Intelligence Survey

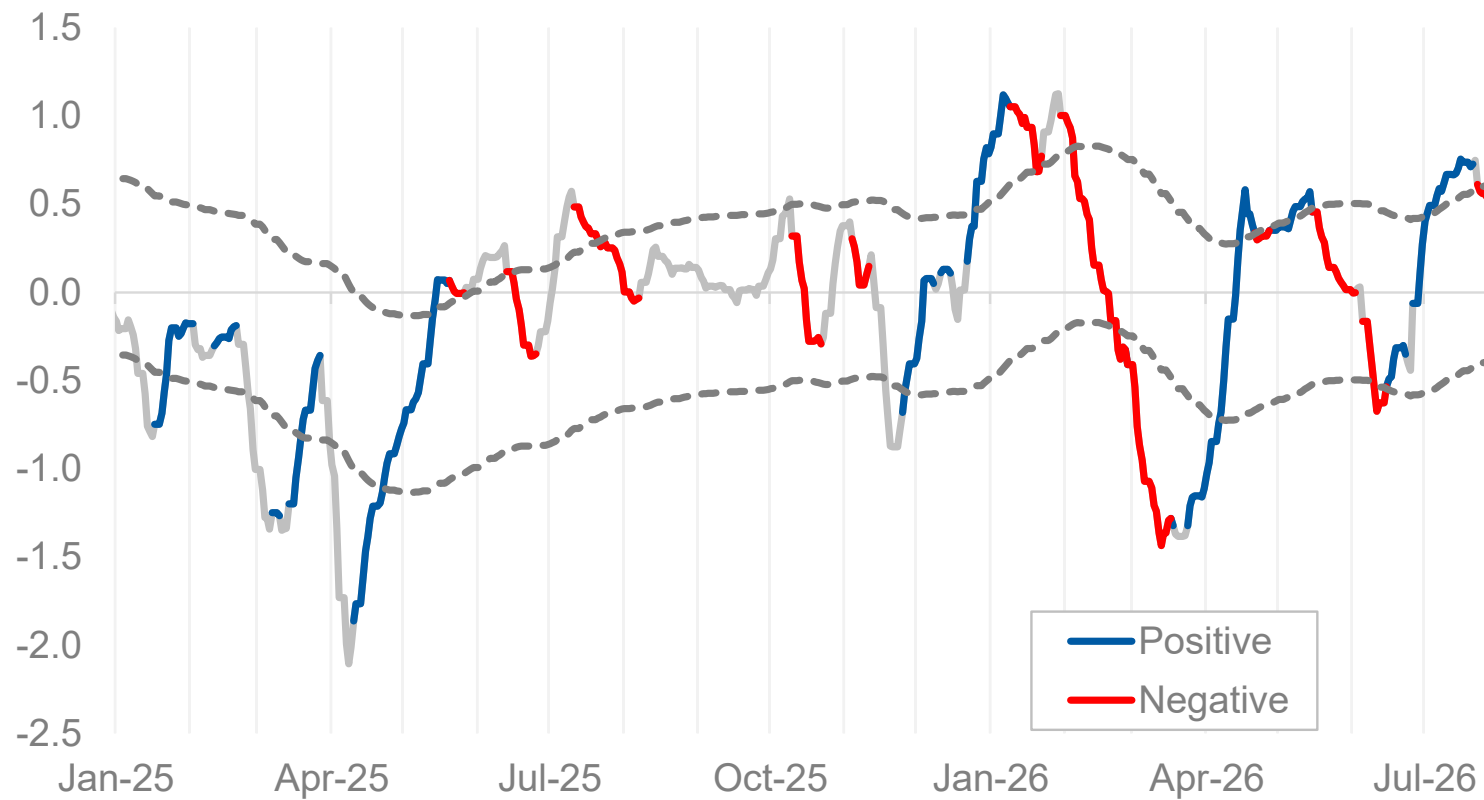
II Survey



As of: 2026-07-29

Source: LSEG, Morgan Stanley Research

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Market Sentiment Indicator (MSI)

TECHNICALS

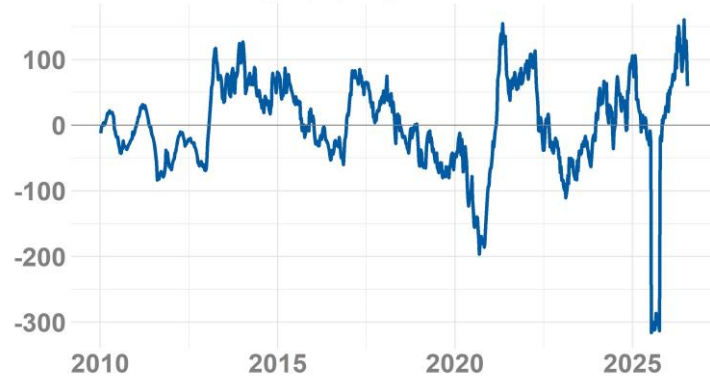
US ICI Fund Flows Summary

Asset	AUM (\$bn)	FLOW (\$bn)					AS % OF AUM				
		1W	4W	13W	26W	52W	1W	4W	13W	26W	52W
ALL	48,923	-3	79	301	642	1,075	0.0%	0.2%	0.8%	1.7%	3.1%
Equity	30,543	-17	14	60	211	242	-0.1%	0.1%	0.2%	0.9%	1.2%
US	23,831	-6	22	64	119	64	0.0%	0.1%	0.3%	0.7%	0.4%
RoW	6,712	-11	-9	-4	92	177	-0.2%	-0.2%	-0.1%	1.9%	4.0%
Hybrid	1,887	-1	-4	-15	-32	-71	-0.1%	-0.2%	-0.9%	-1.9%	-4.4%
Bond	8,280	12	70	263	469	870	0.1%	1.0%	3.8%	7.0%	13.8%
Taxable	4,846	11	62	229	408	762	0.2%	1.4%	5.3%	9.6%	19.0%
Muni	1,103	1	9	34	61	108	0.1%	0.9%	3.6%	6.6%	12.2%
Commodity	312	3	-1	-6	-5	34	0.9%	-0.4%	-3.6%	-3.4%	26.8%
MMFs	7,854	-7	-84	226	142	778	-0.1%	-1.2%	3.4%	2.3%	12.8%
Tax-Exempt	7,938	2	-1	5	8	13	0.0%	-0.5%	4.0%	6.1%	11.2%
Govt	7,628	-6	-73	210	143	714	-0.1%	-7.5%	22.3%	15.2%	83.0%
Tsy & Repo	7,712	-5	-1	129	153	325	-0.1%	-0.1%	6.6%	8.6%	19.0%
Tsy & Agency	7,076	-1	-72	81	-10	390	0.0%	-2.0%	2.3%	-0.3%	12.1%
Prime	7,733	-2	-10	10	-9	50	0.0%	-0.9%	1.0%	-0.8%	4.9%

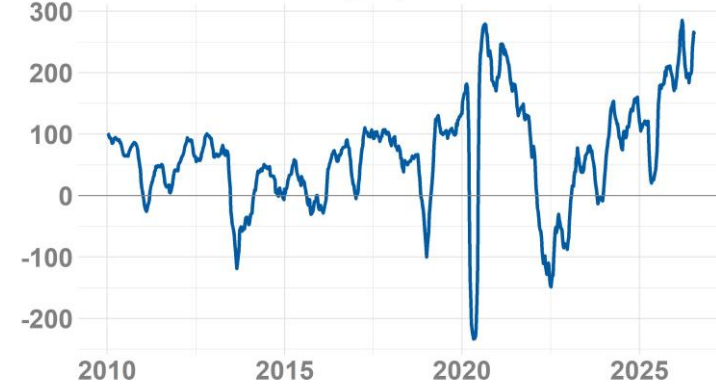
Source: ICI, Haver Analytics, Morgan Stanley Research; Note: AUM data is available monthly with a lag.

TECHNICALS US ICI Fund Flows

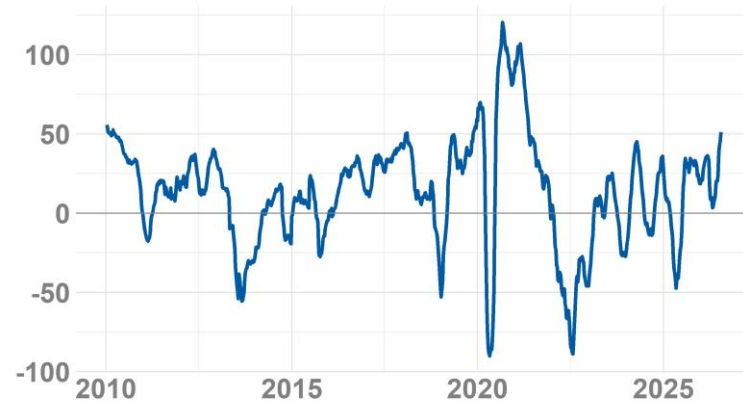
T13wks Flow Equity (\$bn)



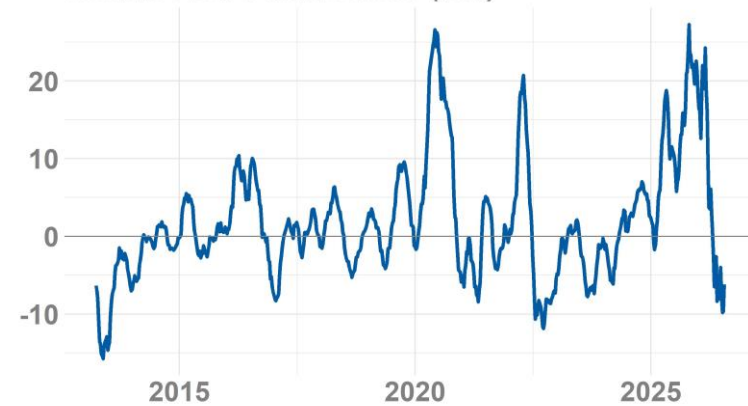
T13wks Flow Bonds (\$bn)



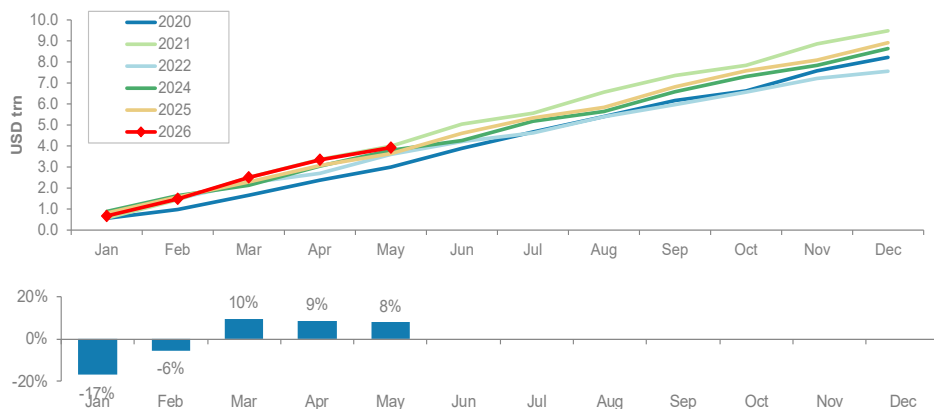
T13wks Flow IG (\$bn)



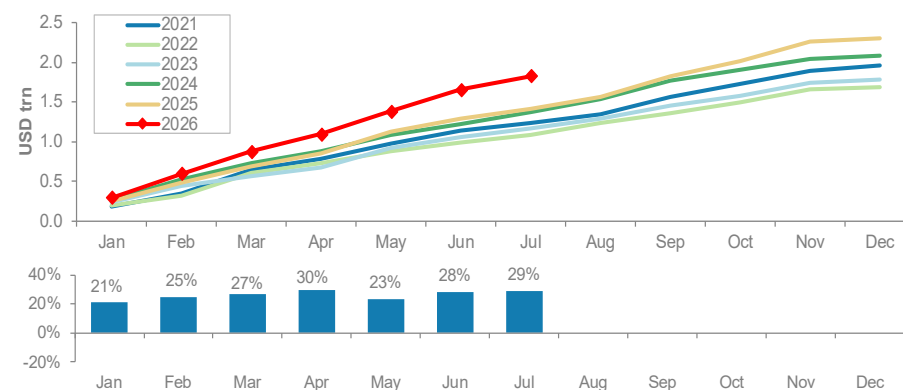
T13wks Flow Commodities (\$bn)



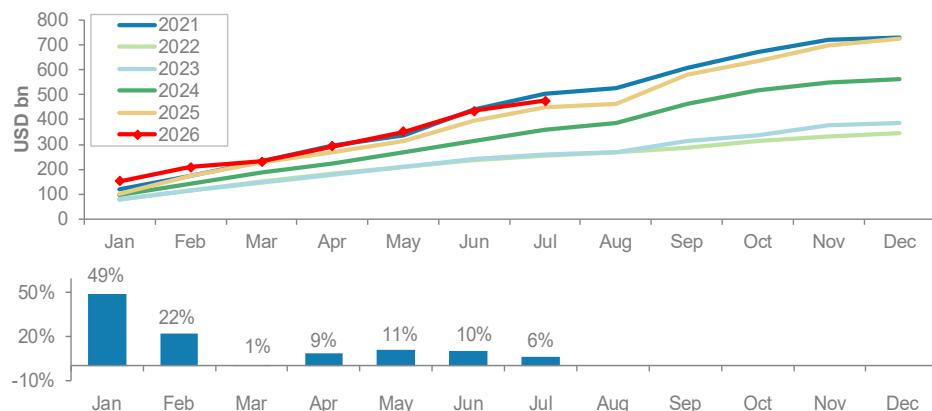
TECHNICALS

Global Fixed Income Gross Issuance – Run Rate & YoY TrendYTD DM Sovereign Issuance: +8% YoY

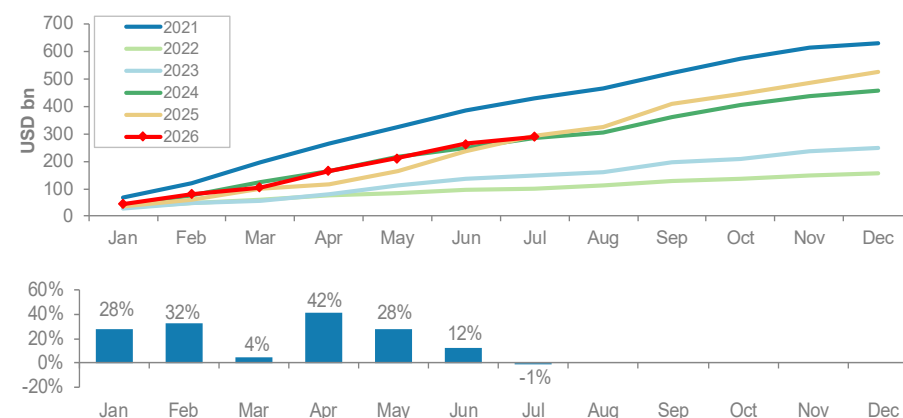
Source: Federal Reserve, Bureau of Public Debt, ECB, JSDA, DMO, Morgan Stanley Research; Note: Data lags by two months.

YTD DM Investment Grade Credit: +29% YoY

Source: Dealogic, Morgan Stanley Research; Note: Blue bar charts represent YoY% change in YTD issuance between 2025 and 2026 for each month.

YTD Emerging Market Debt: +6% YoY

Source: Dealogic, Morgan Stanley Research; Note: Blue bar charts represent YoY% change in YTD issuance between 2025 and 2026 for each month. Includes hard currency bonds only. Includes both corporates and sovereigns.

YTD DM High Yield Credit: -1% YoY

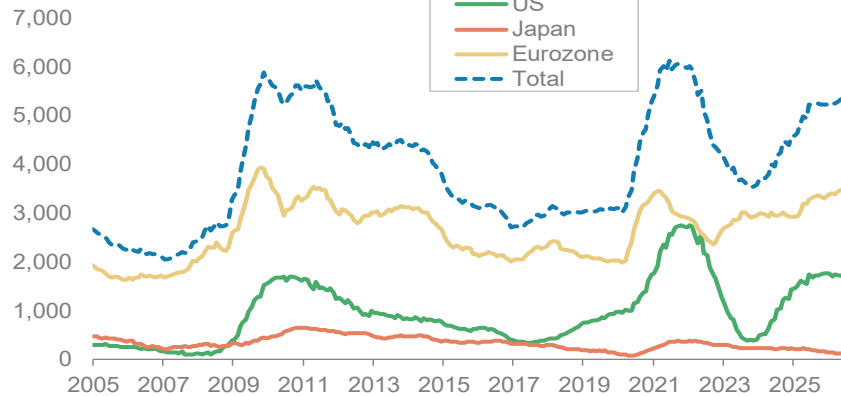
Source: Dealogic, Morgan Stanley Research; Note: Blue bar charts represent YoY% change in YTD issuance between 2025 and 2026 for each month.

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Global Fixed Income Net Issuance (Trailing 12m)

DM Sovereigns

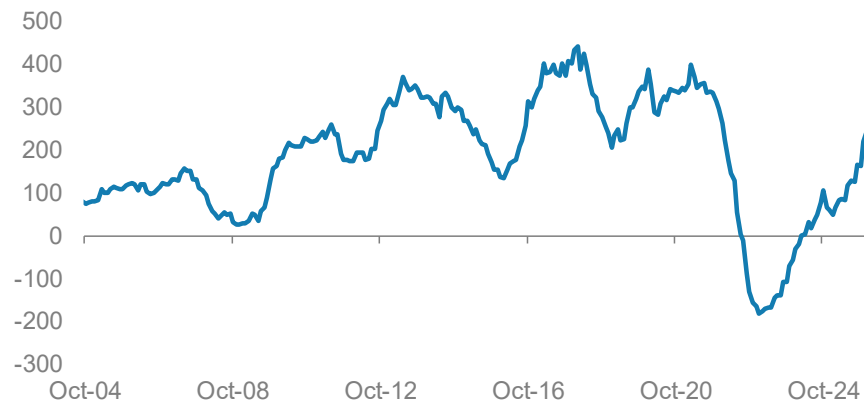
DM Sovereigns (USD bn)



Source: Federal Reserve, Bureau of Public Debt, ECB, JSDA, DMO, Morgan Stanley Research; Note: Data lags by two months.

Emerging Market Debt

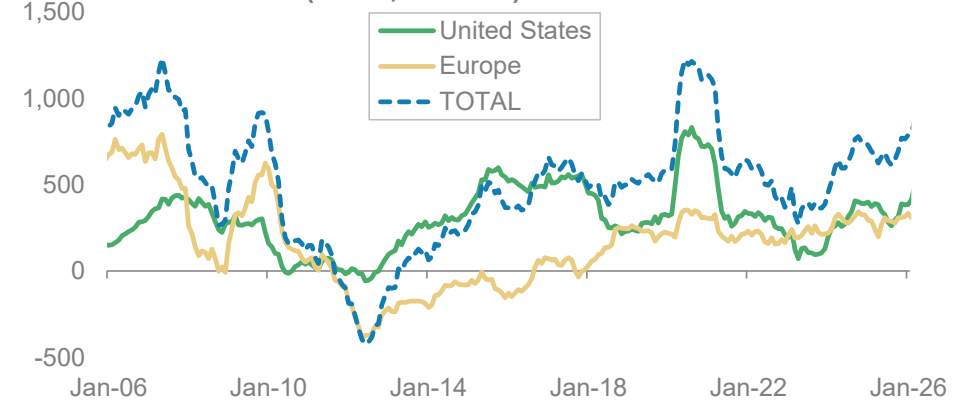
EM Net Issuance (T12M, USD bn)



Source: Dealogic, Morgan Stanley Research; Note: Includes hard currency bonds only. Includes both corporates and sovereigns.

DM IG Corporates

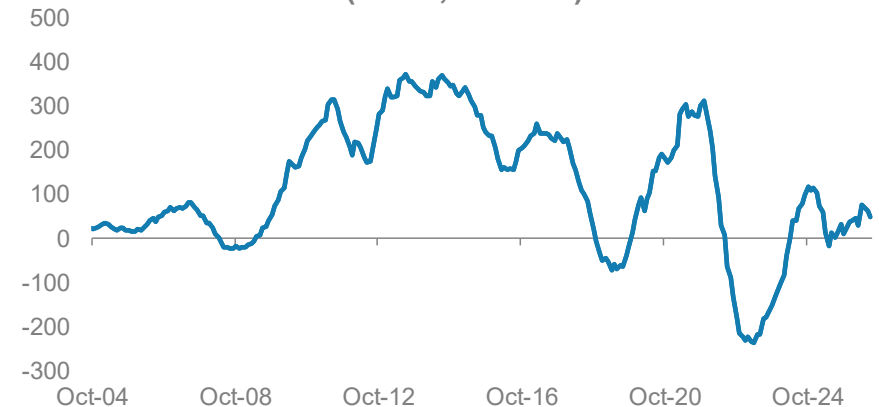
DM IG Net Issuance (T12M, USD bn)



Source: Dealogic, Morgan Stanley Research

DM High Yield

DM HY Net Issuance (T12M, USD bn)



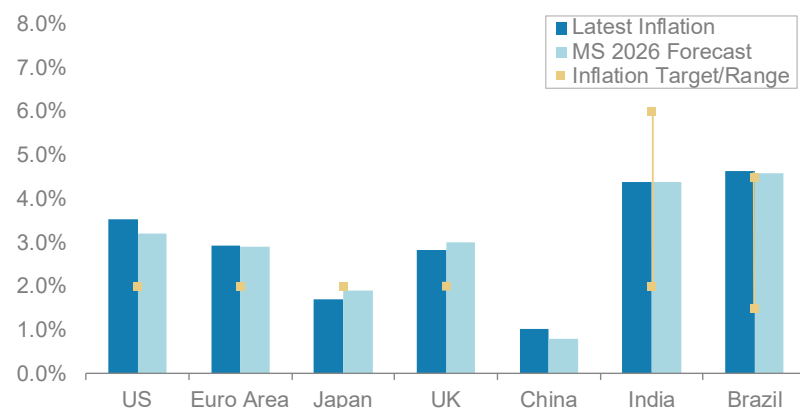
Source: Dealogic, Morgan Stanley Research

What We're Watching

WHAT WE'RE WATCHING | GLOBAL INFLATION MONITOR

Inflation: Current, Forecast, and Central Bank Target

Current Inflation vs. Target



Source: Haver, National data, Morgan Stanley Research forecasts; Note: CPI Inflation numbers are annual period averages. CPI data lags by one month.

DM Annual Inflation Forecasts

		MS	Consensus	Above/ Below
US	2026	3.2	3.3	Red Diamond
	2027	2.1	2.4	Red Diamond
EA	2026	2.9	2.8	Green Circle
	2027	2.4	2.2	Green Circle
Japan	2026	1.7	2.0	Red Diamond
	2027	1.4	2.1	Red Diamond
UK	2026	3.0	3.1	Red Diamond
	2027	2.6	2.4	Green Circle

Source: Bloomberg, Morgan Stanley Research forecasts; Note: CPI Inflation numbers are annual period averages. Red indicates below consensus, green indicates above consensus. We show CPI for all countries.

Current Market Pricing vs. Target Inflation

Regions	Target	2y	5y	10y	30y
US	2% PCE	2.26	2.43	2.43	2.36
Eurozone	2% HICP	2.28	2.18	2.17	2.39
UK	2%	3.91	3.53	3.29	3.23
Japan	2% CPI	2.10	2.36	2.30	2.77*

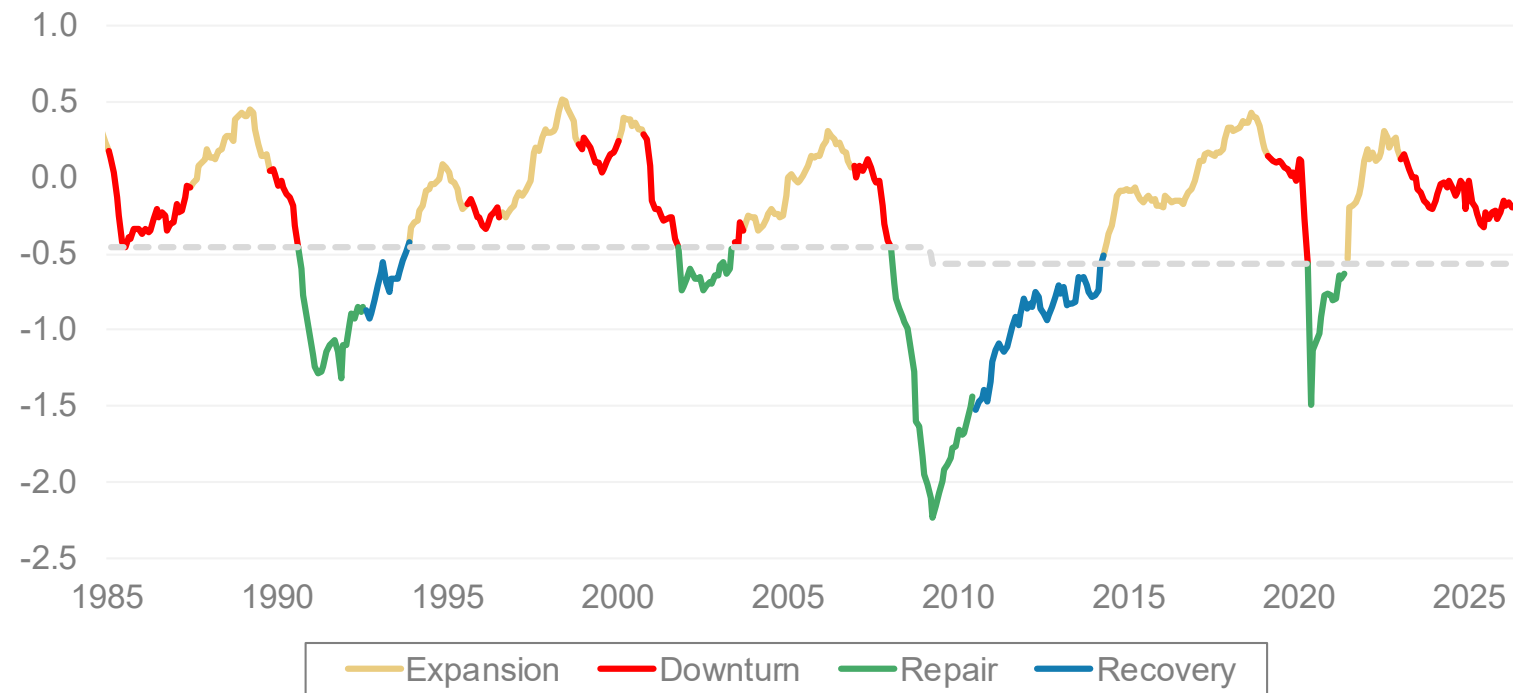
Source: Bloomberg, National central banks, Morgan Stanley Research; Note: Market pricing based on zero coupon inflation swaps. *For Japan, we use a 20Y Inflation Swap.

EM Annual Inflation Forecasts

		MS	Consensus	Above/ Below
China	2026	0.8	1.2	Red Diamond
	2027	0.6	1.2	Red Diamond
India	2026	4.4	2.0	Green Circle
	2027	4.8	5.0	Red Diamond
Brazil	2026	4.0	4.7	Red Diamond
	2027	4.1	4.1	Yellow Triangle

Source: Bloomberg, Morgan Stanley Research forecasts; Note: CPI Inflation numbers are annual period averages. Red indicates below consensus, green indicates above consensus. India 2026 consensus numbers as of May 5, 2026.

WHAT WE'RE WATCHING

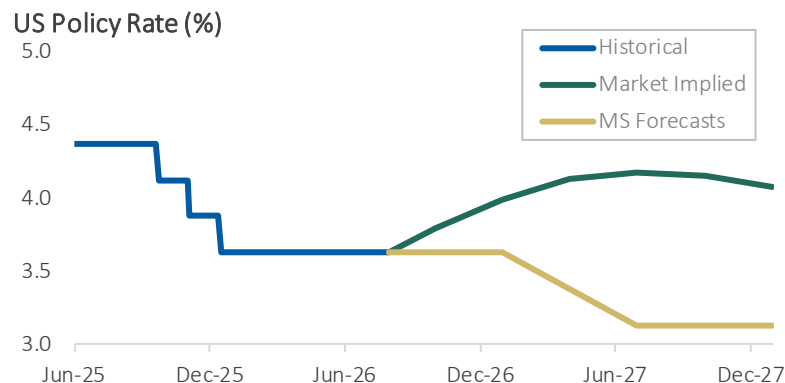
Morgan Stanley Cycle Indicator**US Cycle Indicator**

Source: Bloomberg, LSEG, Haver Analytics, Morgan Stanley Research; Note: For more information on the construction of the cycle indicator, please see [Cross-Asset Dispatches: Improving the Cycle Indicator – Countdown to Downturn \(31 Mar 2019\)](#).

WHAT WE'RE WATCHING

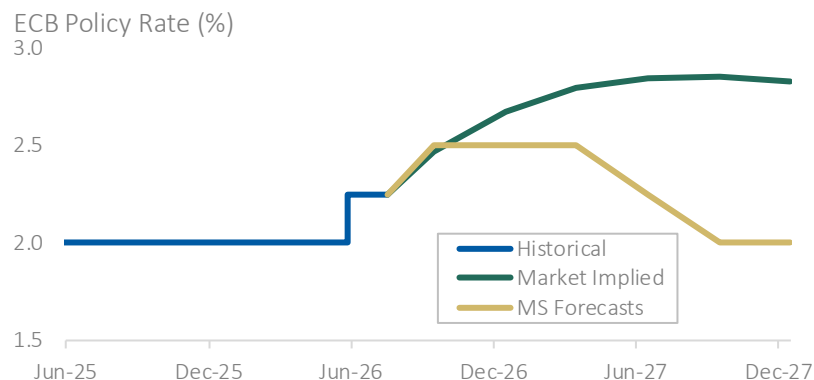
What's in the Price for Central Banks?

US – What's in the Price



Source: Bloomberg, Morgan Stanley Research forecasts

Euro Area – What's in the Price

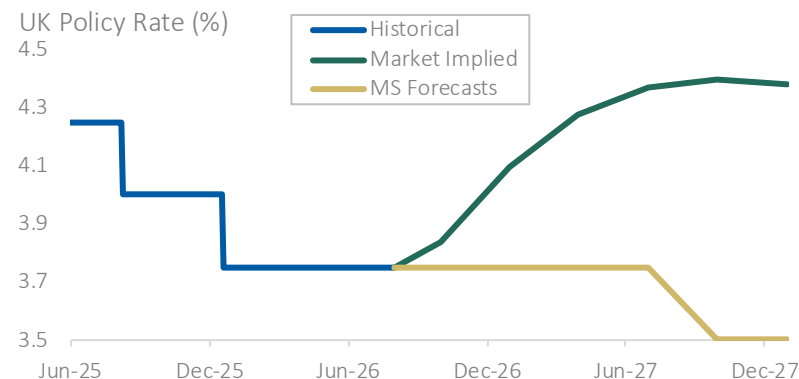


Source: Bloomberg, Morgan Stanley Research forecasts

		Cumulative Expected Policy Rate Moves (bp)		
	Month	Fed	ECB	BoE
2026	Aug	-	-	-
	Sep	+16.5	+21.9	+8.6
	Oct	+24.6	+29.7	-
	Nov	-	-	+22.3
	Dec	+36.3	+42.9	+34.4
2027	Jan	+42.2	-	-
	Feb	-	+48.2	+44.4
	Mar	+50.1	+55.3	+52.8
	Apr	+54.4	+57.8	+58.2
	May	-	-	-
	Jun	+55.4	+60.1	+61.8
	Jul	+54.8	+60.9	+64.5

Source: MS STIRT, Morgan Stanley Research; Note: We show market-implied expectations of cumulative policy rate moves using OIS curves.

UK – What's in the Price



Source: Bloomberg, Morgan Stanley Research forecasts

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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